

nario, device manufacturers bypass the operators and control the value chain through their direct connection to consumers.

Opportunities and Risks in Device Manufacturers Scenario

The demand for feature-rich devices, and manufacturers' abilities to produce them efficiently, will bring handsets to the forefront of the mobile entertainment industry. Device manufacturers have the opportunity to extract the lion's share of the industry's value, and to grow by extending their control in both directions along the value chain. The main threat that mobile device manufacturers face in this scenario is that the entrance of related competitors (PDAs, handheld game consoles, PC makers) will drive prices and profits down.

Wireless operators are most adversely affected in this scenario. The demand for rich entertainment content, the ability for devices to display this content and the inability of networks to distribute it means that wireless operators get squeezed out of data revenues. With voice profitability continuing to fall, some operators will be driven out of business. The operators that are left standing are low-profit "dumb pipes" with little share in the profits of the mobile entertainment industry. Individual operators have an opportunity to leapfrog wireless technology limitations by investing in WLAN hotspots. However, for high-demand entertainment applications, all but the most aggressive hotspot rollouts will be insufficient. Increasing competition from consumer-savvy, niche-marketed, operator-independent WLAN providers will further hamper operator efforts. Portals: As with the operator-dominated scenario, portals that already have strong consumer followings may be able to extend their reach to the mobile environment through a manufacturer partnership. Independent or specialty portals may have more access to the consumer than under the operator-dominated scenario. However, the strength of manufacturer portals will limit independent portal growth overall. Successful mobile-only portals will be swallowed or ground down through limited access to consumers. As the device takes on increasing importance compared with the network, portals in general become marginalized.